

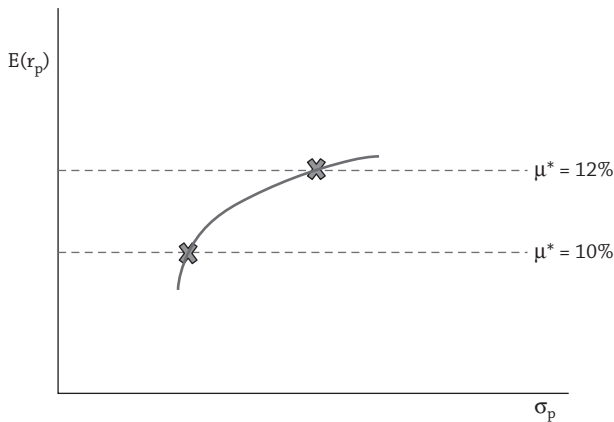


Figure 3.6

Adding short-sale constraints changes the mean-variance frontier, sometimes dramatically. Figure 3.7 contrasts the mean-variance frontier where no shorting is permitted, in the solid line, with the unconstrained frontier, drawn in the dotted line. The constrained mean-variance frontier is much smaller than the unconstrained frontier and lies inside the unconstrained frontier. The constrained

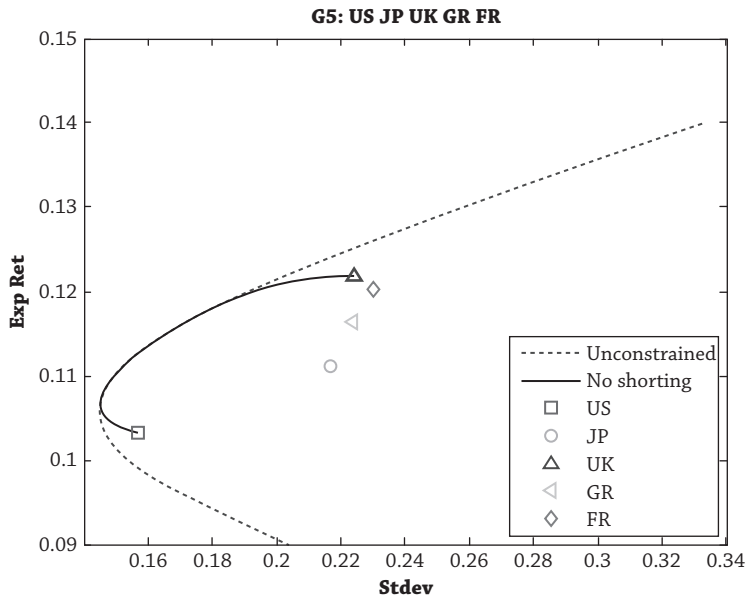


Figure 3.7